

BEFORE

The disastrous effects of protectionist economic policies in the Great Depression Era led to changes in economic thinking.

THE IMF AND GATT AGREEMENTS

In 1944, representatives of 45 nations met in Bretton Woods, New Hampshire, and established the **International Monetary Fund (IMF)** to increase world trade through cooperation between nations. In 1947, the first General Agreement on Tariffs and Trade (GATT treaty) influenced over \$10 billion worth of trade between its members.

G6

In 1975, France, Italy, Japan, Germany, Britain, and the US formed the **Group of Six**—a forum for international trade policy discussions. Known as **G8** after Canada and Russia joined, they represent 65 percent of the global economy.

Times Square

Animated neon and LED signs shimmer on the streets of New York, advertising global brands 24 hours a day. Some companies pay millions of dollars for an annual lease on a space in Times Square and tens of millions more to create an attention-grabbing advertisement.

“Under the impact of globalization... **everyday life** is becoming opened up from the **hold of tradition.**”

ANTHONY GIDDENS, SOCIOLOGIST, 1999



Distant production

In this toy factory in Guanyao, China, female workers assemble Barbie products. The Barbie doll was created by Mattel in the US in 1959 and is now produced and sold all over the world.

Globalization

A phenomenon of the modern world, globalization often refers to the rise of multinational corporations that wield extraordinary economic power. Global consumption of increasingly uniform products has led to concern that the cultural differences of nations will be eroded.

In his book *The Gutenberg Galaxy*, published in 1962, communications theorist Marshall McLuhan predicted that the world would soon become recreated as a “global village.” Today, as US manufacturers make products in Southeast Asia for the European market and customer inquiries in Britain are dealt with through call centers in India, McLuhan’s prophesy of an interdependent world seems truly visionary. The globalization of economies has allowed business to market products internationally, forming many global partnerships and alliances.

The global system

During the 20th century, national governments tended to provide “infrastructure” services such as transit systems, and energy supplies. By the 1980s, economists agreed that underinvestment in these infrastructures had led to problems of low productivity and poor service quality; state control of the infrastructure hampered economic growth. From the 1980s onward, governments began to liberalize their economies, privatizing state assets, and encouraging “open” competitive markets. These reforms contributed to major global economic change. The tonnage of goods traded worldwide is currently estimated to be 16 times greater than in 1950. The rapidly developing Chinese economy is often cited as an example of the benefits of globalization. Since China turned its back, economically at least, on the communist system and opened up its markets to international trade and investment, it is estimated that there has been a seven-fold increase in income per head.

The growth in global trade is due in part to international trade agreements, another

major factor being the impact of technological advances. The advent of the Internet and digital communications systems has added new dimensions to the world’s economic infrastructure. International trade can be conducted quickly and efficiently, and companies are expanding their operations across the globe.



Global product

After the huge success of the iPod (see p.461), which launched in 2001 and sold over 42 million worldwide by early 2006, Apple went on to produce the iPhone.

and Reebok. The presence of these companies’ logos, or “brands,” promises the same product whether we purchase it in Melbourne, Mumbai, or Miami. This corporate branding of goods has been hugely successful. Worldwide, the possession of “designer label” goods is seen as a mark of success, a marketing triumph that has generated phenomenal profits for the multinationals. However, the uniformity of experience provided by such companies has resulted in complaints as local, regional, and even national cultural distinctions are being lost.

Many of those opposed to multinational industry also complain that their wealth gives them the power to influence the economic and political decisions of governments, particularly in the area of trade restrictions. Some companies have been guilty of exploiting cheap labor to produce items that are then sold at a profit to Western consumers.

Whatever their opinion of the globalization of the world economy, commentators are united in the view that the world has been transformed by its impact. The consequences of these rapid and massive changes are only just beginning to be understood.

IDEA

ANTIGLOBALIZATION

On November 30, 1999, riot police in Seattle, WA, used pepper spray and tear gas to disperse antiglobalization protesters at a World Trade Organization conference. Since the 1990s, the number of staged protests against global trade agreements has increased. Protesters are concerned that in order for governments and multinational companies to make a profit, there is a requirement that poor countries must remain the impoverished suppliers of raw materials and cheap labor.



AFTER

Globalization has contributed to a growing sense of global responsibility. Governments and multinational businesses are now doing more to combat Third World poverty and conserve the environment.

FIGHTING POVERTY

For many people the **inequalities** between the lives of **rich and poor** are no longer **acceptable** and multinational companies and governments are increasingly facing demands to address world poverty. Campaigns such as “**Make Poverty History**” promote issues including trade justice for poorer nations and the cancellation of Third World debts.

THE GLOBAL ENVIRONMENT

The continuing rise in temperatures throughout the world has placed the issue of **global warming** at the center of the political agenda **476–77 >>**. Changes in Earth’s climate are directly linked to higher levels of carbon dioxide in the atmosphere created by human activity. International agreements such as the **Kyoto Protocol**, enforced since 2005, and the Copenhagen Agreement of 2010, have attempted to promote cleaner manufacturing practices in industry in order to try to reduce greenhouse gas emissions.